volatility can happen over the short term. Investing for the long term (the longer the better) allows you to weather short-term market declines or volatility, because if there is a period of decline, you can patiently wait for the market to recover and grow.

UNDERSTANDING RISK

When you put your money in the stock market, or in any investment for that matter, you are assuming a certain amount of risk that is unavoidable. Particularly with investing in the stock market, your investments are uninsured and returns are not guaranteed. That sounds scary, but what does it really mean?

Basically, it means that investments can lose their value as a result of company performance, disasters, or other reasons. The stock market can tumble due to economic reasons or political climates. If these scenarios affect stocks you own, then your portfolio could lose value as a result.

However, risk isn't just associated with investing in the stock market. Just about anything you can do with your money carries a degree of risk. For instance, your cash in a savings account is at risk of losing its value over time due to inflation. Buying real estate carries a risk of a property losing value. Opening a business comes with a risk of the business not performing well and having to close its doors. That doesn't mean you should avoid doing these things, either; it just means that when it comes to money, some risk is unavoidable. It's not something to fear, but something you can accept, understand, and work with.

That being said, let's get into some ways in which you can mitigate or hedge against risk.

MITIGATING RISK

There will always be a level of risk when it comes to investing, which is basically the possibility that you can lose all or some of your money. This same idea applies to life in general. Life is full of risks, some greater than others. You might be employed at a great company, but you run the risk that you could lose your job if the company has a bad year or the finances are